

TECHNOLOGY & GAMING REGULATION

Govt left with a losing hand as offshore RMG sites find a cheat code

Multiple users on social media platforms like X continue to complain that their money is stuck on offshore platforms such as Parimatch, 1Xbet and other sites that are beyond the direct reach of Indian regulators, even as these sites continue to attract users and their funds.

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India's ban on real money gaming (RMG) faces hurdles as offshore betting operators like Parimatch continue illegal operations via shadow payment networks.

⚡ KEY TAKEAWAYS & STORY SUMMARY

- **Post-Ban Enforcement Gaps:** A year after India enacted the Promotion and Regulation of Online Gaming Act (2025) banning real-money gaming, illegal offshore operators continue to thrive.
- **Enforcement Directorate (ED) Raids:** The ED raided 12 locations across Maharashtra, Delhi-NCR, Rajasthan, and Gujarat targeting entities linked to Parimatch, payment gateways, and Chartered Accountants.

- **Circumvention Tactics ("Cheat Code"):** Offshore platforms bypass local restrictions through mirror domain links, proxy servers, shell companies, and localized payment aggregators.
- **Consumer Impact:** Hundreds of Indian users report frozen accounts and withheld deposits on platforms like Parimatch and 1Xbet with zero legal recourse.
- **Regulatory Pushback:** The Directorate General of Goods and Services Tax Intelligence (DGGI) proposes mandatory payment recording for website payment trails.

NEW DELHI / BENGALURU — A year after India banned real money gaming (RMG) under statutory framework reforms, the industry continues to struggle to curb offshore betting engagement while also implementing the new certification framework, according to industry executives, legal experts, and investigative authorities.

Multiple users across social media platforms including X (formerly Twitter) continue to voice grievances regarding trapped funds on offshore platforms such as **Parimatch**, **1Xbet**, and secondary gambling sites. Because these illegal platforms operate from jurisdictions outside direct Indian regulatory reach, user funds remain severely at risk while the sites continue actively onboarding unsuspecting domestic users.

Enforcement Directorate (ED) Intensifies Nationwide Probes

In response to the surge of illicit capital flow and unauthorized betting operations, the Enforcement Directorate (ED) has launched aggressive anti-money laundering investigations. Recent enforcement actions involved coordinated raids across 12 strategic locations in four states — including Delhi-NCR, Maharashtra, Rajasthan, and Gujarat.

The investigation targets networks of payment gateways, fintech intermediaries, and Chartered Accountant (CA) firms allegedly involved in establishing dummy bank accounts and facilitating illegal outward remittances on behalf of offshore betting operators like Parimatch.

"Offshore entities use layered payment structures, dynamic mirror domains, and localized proxy accounts to collect funds from Indian users, bypassing banking controls designed to enforce the RMG ban."

— INDUSTRY CYBER-LEGAL ANALYST

How Offshore Operators Bypass the RMG Ban (The "Cheat Code")

Despite strict domestic bans and blocking orders issued by the Ministry of Electronics and Information Technology (MeitY), offshore gambling networks employ sophisticated workaround mechanisms to stay operational in India:

Circumvention Vector	Operational Mechanism	Regulatory & Risk Challenge
Mirror & Alternative Domains	Automated rotation of web URLs and AMP-based mobile redirects when primary domains are blocked.	MeitY blocking lists require continuous real-time updates to keep up with domain creation.
Mule Accounts & Gateways	Routing UPI and net banking payments through domestic shell entities and dummy merchant IDs.	Financial trails are masked inside legitimate merchant transaction volumes.
Social Media Marketing	Influencer promotion, direct message referral codes, and proxy surrogate advertising.	ASCI and consumer protection guidelines struggle to police peer-to-peer digital channels.
Cryptocurrency Remittances	Accepting peer-to-peer crypto transfers to move funds out of Indian jurisdiction instantly.	Cross-border crypto transfers bypass traditional banking reporting systems.

Growing Distress Among Indian Retail Users

As regulatory scrutiny tightens on payment intermediaries, offshore platforms frequently freeze user withdrawal functions under the guise of "verification delays" or technical maintenance. Consumers who deposit funds onto these uncertified sites find themselves left without legal grievance mechanisms, as foreign betting platforms operate without local corporate presence or regulatory compliance.

Cyber crime portals and consumer protection forums have noted a sharp rise in complaints involving non-responsive customer service, missing balances, and fraudulent deposit charges linked to offshore betting aggregators.

Proposed Solutions: Mandatory Payment Recording & Banking Tightening

To plug the systemic loopholes exploited by offshore gaming operations, enforcement bodies including the Directorate General of Goods and Services Tax Intelligence (DGGI) and the Reserve Bank of India (RBI) are preparing stricter compliance directives:

- **Mandatory Payment Recording:** Requiring payment aggregators and banking partners to maintain granular IP, device finger-print, and recipient merchant logs for all gaming-related transactions.
- **Enhanced KYC & CA Verification:** Implementing biometric and corporate registry checks to prevent the setup of fraudulent CA-certified shell accounts.
- **Coordinated International Legal Assistance:** Partnering with international anti-money laundering bodies to trace offshore parent companies operating out of tax havens.

